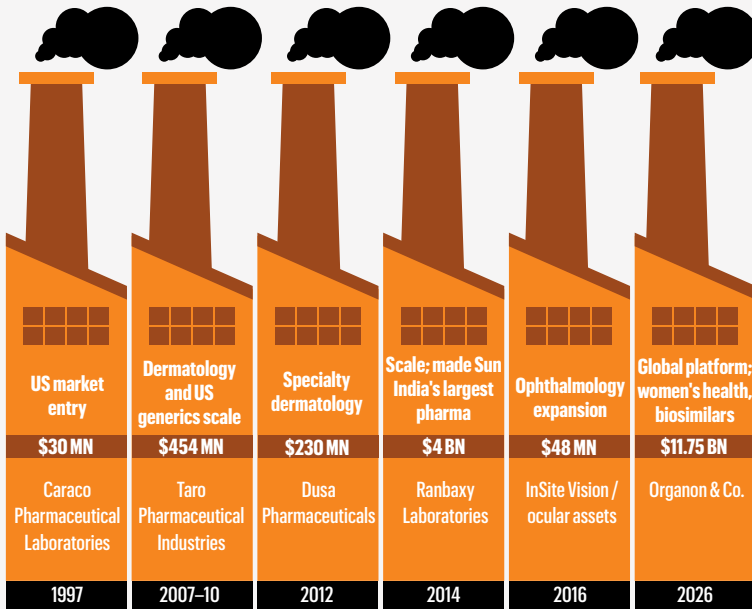


SERIAL ACQUIRER

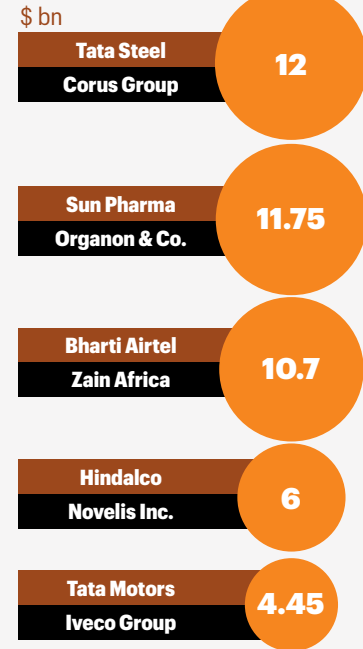
● Sun Pharma's growth has been driven by acquisitions, each adding scale and global reach



SOURCE BT RESEARCH

THE BIG BUYS

● The deal places Sun Pharma among India's largest global acquirers



he says. "After two to three years [with Ranbaxy], both the teams were fully integrated. The same outcome is the goal here." He adds it will take two-four years to bring the business back to strong growth during which revenue growth may dip.

The financial architecture of the deal reflects a balance between growth and discipline.

"Both companies have comparable Ebitda margins. In fact, Organon's adjusted Ebitda is slightly higher than Sun's," says Satagopan. "This transaction is expected to be EPS-accretive from the first year itself." Organon's 2025 adjusted Ebitda margin was 30.7%.

Sun's gross margin is roughly 80%, while Organon's adjusted gross margin is approximately 60%. The blended gross margin is estimated at about 71%, a compression of roughly 960 basis points.



JAYASHREE SATAGOPAN
CHIEF FINANCIAL OFFICER,
SUN PHARMA

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